RATING ACTION

Moody's affirms A3 on the Industrial Development Authority Revenue Bonds (Kestrel Industries Project), Series 2019; outlook stable

15 June 2026

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Rationale

In its most recent surveillance action on this credit, Moody's Investors Service affirmed the A3 rating on the Industrial Development Authority Revenue Bonds (Kestrel Industries Project), Series 2019, and assigned a stable outlook. The action follows our routine annual surveillance review and reflects our conclusion that the unconditional corporate guarantee underpinning this credit remains unchanged, notwithstanding the corporate guarantor's own publicly disclosed pending change-of-control transaction, which we discuss separately in our surveillance of the guarantor's corporate family and senior unsecured ratings.

This surveillance action resolves the interim review we placed on this credit on 2 April 2026 following the guarantor's public confirmation of the pending transaction. On completing that review, we concluded that the guarantee's unconditional, full and timely payment terms are unaffected by the guarantor's own capital-structure discussion, so this credit's rating tracks the guarantor's own senior unsecured rating rather than moving independently on any transaction-specific term.

The sinking fund schedule and the bonds' first optional redemption date, both established at issuance, are unaffected by this action.

Factors that could lead to a change

» A change in the corporate guarantor's own senior unsecured rating would be expected to move this rating in the same direction.

» Any amendment weakening the unconditional nature of the guarantee would likely lead to a downgrade, independent of the guarantor's own rating at the time.

Methodology

This rating continues to be assigned under Moody's Government-Related Issuers methodology, applied to a corporate guarantee wrap over a conduit municipal structure, as described in our initial rating action on this credit.

Rating History

Date	Action	Rating	Outlook
2019-06-01	Assigned at issuance (initial rating)	A3	Stable
2 April 2026	Placed under review, direction uncertain	A3	Under review
15 June 2026	Affirmed, review concluded (this action)	A3	Stable

This is the third Moody's rating action on this credit since its 2019 issuance: the initial rating action, the interim review placement discussed above, and this surveillance action resolving that review. No intervening action occurred between the initial rating and the review placement, consistent with the guarantee's own stability over that period.

Key credit considerations

This credit's rating is, and has been since issuance, entirely a function of the corporate guarantor's own senior unsecured credit quality, not of any project-level cash flow generated by the underlying manufacturing facility. Readers should not treat any operational metric specific to that facility as informative for this rating unless it is also informative for the guarantor's own senior unsecured rating.

We reviewed the guarantee documentation as part of resolving the review placement discussed above and confirmed its unconditional, full and timely payment terms are unchanged from the terms in place at issuance. We did not identify any amendment, waiver, or side letter that would narrow the guarantee's scope.

Analyst commentary

Because this rating tracks the guarantor's own senior unsecured rating rather than moving independently, our surveillance of this credit will continue to be driven primarily by our surveillance of the guarantor's own corporate family and senior unsecured ratings, which are the subject of separate published rating actions we do not restate here.

Regulatory disclosures

This action was taken as part of our regular surveillance of the issuer and not in response to a request from the issuer, the Authority, or any third party. All information used in this action was obtained from sources believed to be reliable, including the continuing disclosure record referenced elsewhere in our surveillance of this credit and information provided directly by the guarantor in the ordinary course of surveillance of its own separate ratings.

Bond structure summary

Feature	Description
Par outstanding	$24,500,000
Structure	Serial maturities 2027-2033 plus a single term bond due 2039
Sinking fund status	First mandatory sinking fund payment 2034-06-01 (last scheduled 2039-06-01); none made to date as of this surveillance action
First optional redemption	2029-06-01, at par, not yet reached as of this action

Security	Unconditional corporate guarantee, full and timely; the guarantee documentation was reviewed in resolving the 2 April 2026 review placement and confirmed unchanged from the terms in place at issuance
Tax status	Private activity bond, not bank-qualified

The structural features above are restated as of this surveillance action; the sinking-fund and guarantee rows report this action's own review of the record through its date, not any change to the bonds' terms.

Related research

See our initial rating action on this credit, dated at issuance, for a fuller discussion of the credit strengths and challenges applicable to a corporate-guarantee-wrapped conduit structure of this kind, and our interim review-placement action dated 2 April 2026 for the specific concern that review addressed. This surveillance action does not restate either in full.

See also our separate published rating actions on the corporate guarantor's own senior unsecured notes and secured revolving credit facility for our current view of the guarantor's own credit quality, which is the sole determinant of this rating as discussed under Key credit considerations above.

Scope of this action

This surveillance action addresses only the rating on the Industrial Development Authority Revenue Bonds identified in the headline above. It does not address, and should not be read as addressing, the credit quality of the underlying manufacturing facility as a standalone asset, the tax-exempt status of interest paid on the bonds, or any other matter outside the scope of a credit rating as Moody's own published definitions describe that term.

Contacts

Moody's Investors Service, Public Finance Group. Questions regarding this rating action should be directed to the analyst contacts named above.

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This action does not constitute an offer to sell or a solicitation of an offer to buy, hold, or sell any security, and does not comment on the suitability of the bonds for any particular investor. Investors should consult their own financial or other professional advisors before making any investment decision involving the bonds discussed above.

This surveillance action affirms the rating; it is not a downgrade, an upgrade, or a change in outlook, and follows the annual surveillance cadence Moody's applies to rated municipal conduit credits of this kind generally, distinct from the event-driven interim review action discussed above.

We do not expect to revisit this rating outside our normal annual surveillance cadence unless the pending change-of-control transaction discussed above closes, is abandoned, or the guarantee is amended in a manner that would call for an out-of-cycle review of the kind we conducted between 2 April 2026 and this action's own date.

Moody's next scheduled periodic surveillance review of this credit is expected within twelve months of this action's own date, consistent with our standard annual surveillance cadence for rated municipal conduit credits of this kind, absent an intervening event warranting an earlier, out-of-cycle review of the kind conducted between 2 April 2026 and this action's own date.

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